

New amended PMA policy: 100 per cent preference to Made in India products for procurement of CCTV cameras (video) and sensor based alarm systems by all government departments—A brief: Preferential market access

1. The government of India has laid down a policy for preference to domestically-manufactured electronic products in government procurement for its own use and not with a view to commercial resale or with a view to use in the production of goods for commercial sale.
2. The policy is applicable to all ministries/departments (except Ministry of Defence) and their agencies.
3. Each ministry/department would specify sector-specific electronic products.
4. Each ministry/department would specify the percentage of procurement to be made from domestically-manufactured electronic products, which shall not be less than 30 per cent of the total procurement value of that electronic product(s).
5. Each ministry/department would also specify the domestic value-addition requirement that the electronic product should satisfy for the product to qualify as a domestically-manufactured electronic product.
6. Policy for preference to domestically-manufactured telecom products in procurement due to security considerations and in government procurement, notifying telecom products for government procurement in furtherance of the policy dated October 5, 2012.
7. The Department of Telecommunications came up with a list of 23 domestic products covered under the policy with their minimum PMA to domestically-manufactured electronic products and their minimum domestic value addition.
8. Serial number 22 states security and surveillance communication systems (video and sensor based)
9. SPGI wrote to government's Department of Telecommunications and Department of Electronics and Information Technology (DeITy) seeking clarification as to whether CCTV camera (video) and alarm systems are part of serial number 22.
10. Government of India, Ministry of Communications and IT, Department of Telecommunications (Investment Promotion Cell) clarified as per Office Memorandum No.- 18-14/2012- IP(Pt.) dated July 22, 2015, CCTV video cameras and sensor based alarming systems can form part of security and surveillance communication and should get covered under telecom equipment description listed at serial number 22 in the Gazette Notification dated October 5, 2012.
11. PMA on serial number 22 mentions 100 per cent with value addition of 35 per cent in the first year, increasing by five per cent in subsequent years.

As per this amendment, domestically-manufactured CCTV cameras and alarm systems have to be provided 100 per cent preference in all government purchases.

sectors include city surveillance, traffic monitoring, railways and education," opines Sanjeev Sehgal, chairman, Security Promotion Group of India (SPGI), and managing director, Sparsh, while discussing the growth drivers of this sector.

Integrated security solutions incorporating both security products and surveillance services have been gaining importance over standalone solutions. Customers look for more business value in surveillance solutions by utilising these in varied applications beyond increasing security and loss prevention. For example, integration of business intelligence software to a video surveillance system can be utilised to capture mar-

keting and point-of-sale data. This, in turn, can help organisations realise far more value from video surveillance systems. Also, integrated, cloud based and mobile-operated security solutions will be the major trends in the surveillance business.

While discussing the applications beyond security reasons, Jivani comments, "When it comes to enterprises, usage of cameras or security and surveillance products is not only for the purpose of security but also for productivity. When video surveillance is in place at offices, shops or any other place, productivity of the workers/employees tends to increase automatically. Surveillance helps in making places organised,

Demand generating areas

- Commercial and residential
- Banking and financial
- Retail
- Industrial
- Government and transportation

be it offices, shops or streets.

"The return on investment of companies increase due to surveillance as productivity goes up. For example, instead of manufacturing 100 units of a product per day, a worker starts to make 105 units; productivity goes up because of the cost that a company had incurred on surveillance."

Tectonic shift in the market

With technological advancements and changing customer needs, analogue video surveillance has been shifting to network video surveillance. The ever-reducing gap in the acquisition cost of IP and analogue segments has also been a great trigger point for the industry. Traditionally controlled by analogue based surveillance systems, Indian market is now shifting towards digitised, that is, IP based surveillance systems. These systems are finding their space across industry verticals, namely, government and transportation, banking and financial, retail, commercial, industrial and residential.

The technological roadmap will be driven by all-pervasive, online and proactive solutions. Over the next few years, the market for IP surveillance is expected to increase due to increasing IP infrastructure, declining prices and demand for remote access.

From the earlier analogue CCTV technology, there has been a steady technology shift to IP based (digital), open source and fully-integrated systems, with the option of remote surveillance, background screening, video analytics, digital video and sensor based detection. The shift of market focus to IP cameras from